# Eco401 MCQs (Lecture 1 - 18) -4 Solved by vuZs Team

**ECO401 MCQs From Quiz No.2**
**MCQs Covering lectures from 1-18**
**Solved by vuZs Solution Team in conference chat**
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**Which of the following is a characteristic of a mixed economy?**
**Select correct option:**

In mixed economy, resources are governed by both government and individuals.

Mixed economy utilizes the characteristics of both market economy and planned economy to allocate goods and services.
**People are free to make their decisions and government controls the Defence.**
**All of the given options are true. (Correct)**

**If a firm operates in a perfectly competitive market, then it will most likely:**
**Select correct option:**

Advertise its product on television.
Have difficult time obtaining information about the market price.
Settle for whatever price is offered.
**Have an easy time keeping other firms out of the market. (Correct)**

**Which of the following is TRUE about the production function?**

**Select correct option:**

It relates inputs with output.

It generates a curve that is upward sloping.
It shows diminishing marginal product of an input, since it gets flatter as output rises.
**All of the given options are true. (Correct)**

Ref by Sehar khan:

A mathematical relation between the production of a good or service and the inputs used. A production function is usually expressed in this general form: Q = f(L, K), where Q = quantity of production output, L = quantity of labor input, and K = quantity of capital input. **A production function is simply the relationship between inputs & outputs. (for referance of option 2 and 3 see page no 56 from soft copy)**

**Goods X and Y are complements while goods X and Z are substitutes. If the supply of good X increases:**

**Select correct option:**

The demand for both Y and Z will increase

**The demand for Y will increase while the demand for Z will decrease (Correct)**
The demand for Y will decrease while the demand for Z will increase
The demand for both Y and Z will decrease

**fareedip: An indifference curve is:**
**Select correct option:**

A collection of market baskets that are equally desirable to the consumer.
A collection of market baskets that the consumer can buy.
A curve whose elasticity is constant for every price.
**A curve which passes through the origin and includes all of the market baskets that the consumer regards as being equivalent. (Correct)**

**Which of the following best describes an inferior good?**

**Select correct option:**

A good for which price and quantity demanded are directly related.
A good for which price and quantity demanded are inversely related.
**A good for which income and quantity demanded are directly related. (Correct)**
A good for which income and quantity demanded are inversely related.

**Suppose we find that the cross-price elasticity of demand for two products is a negative number. We know that:**

**Select correct option:**

**The two goods are normal goods. (Correct)**

The two goods are inferior goods.
The two goods are substitutes.
The two goods are complements

**If the equilibrium price of bread is Rs. 3 and the government imposes Rs. 2 price ceiling on the price of bread then:**

**Select correct option:**

More bread will be produced to meet the increased demand.

**There will be a shortage of bread. (Correct)**

The demand for bread will decrease because suppliers will reduce their supply.
A surplus of bread will emerge.

**If the cost of computer components falls, then**

**Select correct option:**

The demand curve for computers shifts to the right.
The demand curve for computers shifts to the left.
**The supply curve for computers shifts to the right. (Correct)**
The supply curve for computers shifts to the left.

**More output could be produced with available resources if:**
**Select correct option:**

**Resources are allocated efficiently. (Correct)**

Resources are imperfectly shiftable among alternative uses.
Prices are reduced.
The economy is operating at a point inside the production possibilities curve.

**The law of diminishing returns assumes:**

**Select correct option:**

**There are no fixed factors of production. (Correct)**
There are no variable factors of production.
Utility is maximised when marginal product falls.
Some factors of production are fixed.

**Production possibilities analysis assumes that:**

**Select correct option:**

Resources and technology increase with production.

Resources are used to produce thousands of goods.
Extra resources are saved for emergency use.
**Resources are used in a technically efficient way (Correct)**

**Average physical product is equal to:**
**Select correct option:**

TPPF

**TPPF/QF (Correct)**
QF / TPPF
TPPF * QF

**If two goods were perfect complements, their indifference curves would be:**
**Select correct option:**

Straight lines
**L-shaped (Correct)**
Rectangular hyperbolas
Parabolic

**The principle economic difference between a competitive and a non-competitive market is:**
**Select correct option:**

The number of firms in the market.

**The extent to which any firm can influence the price of the product. (Correct)**
The size of the firms in the market.
The annual sales made by the largest firms in the market.